Union Pacific (UNP)

Best Railroad, Full Price

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*Best Railroad, Full Price. Union Pacific is the premier North American railroad: 29% net margins, 38% ROE, six straight quarters of pricing gains, record productivity. The operating quality is unquestioned [8-K Q2 2026]. Merger Is the Story. The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains [8-K]. Overvalued on DCF. At $289.04 [Mkt 16-Oct-26], the stock is 33% above our $217.75 DCF base. Quality deserves a premium, but the current price assumes the merger closes smoothly and volumes recover. Our framework screens it as a **Hold** with a $212.31 blended target, 27% below the current price.*

HOLD	$212.31	-27%	$289.04
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Best Railroad, Full Price. Union Pacific is the premier North American railroad: 29% net margins, 38% ROE, six straight quarters of pricing gains, record productivity. The operating quality is unquestioned [8-K Q2 2026].

Executive summary

Merger Is the Story. The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains [8-K].

Overvalued on DCF. At $289.04 [Mkt 16-Oct-26], the stock is 33% above our $217.75 DCF base. Quality deserves a premium, but the current price assumes the merger closes smoothly and volumes recover.

$6.86B	$3.41	~59%	28.9%	38.5%	$24.5B
REVENUE (Q2 2026)	EPS (Q2 2026)	OPERATING RATIO	NET MARGIN	RETURN ON EQUITY	REVENUE (FY25)

The moat is structural

Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record

Three scenarios make the valuation range explicit

The DCF values Union Pacific across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$158.44**	-45%
Base	50%	**$217.75**	-25%
Bull	25%	**$255.30**	-12%

Bear ($158.44, -45%): Growth disappoints and multiples compress; the $158.44 target marks the downside case.

Bull ($255.30, -12%): Execution compounds and the multiple rerates; the $255.30 target marks the upside case.

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The probability-blended target implies -27% upside

Blended target: $212.31 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -27% upside from the $289.04 reference price.

$212.31

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 20.3x [Mkt 16-Oct-26] DCF Base $217.75 vs $289.04 spot [Mkt 16-Oct-26] PEG 2.87 [Mkt 16-Oct-26] DCF implies 25% downside. PEG of 2.87 is expensive for low-single-digit growth.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $212.31 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record [8-K Q2 2026]

Best-ever workforce productivity, fuel consumption, terminal dwell [8-K Q2 2026]

Proposed Norfolk Southern merger creates first transcontinental railroad [8-K]

What to monitor

Oct 22, 2026. Q3 2026 Earnings: consensus $3.47 EPS on $7.12B revenue. Operating ratio is the key metric.

2026-2027. Norfolk Southern merger regulatory review; STB application expected after Oct 29.

2027. Pricing gains and productivity initiatives target continued OR improvement.

$6.86B	$3.41	~59%	28.9%
REVENUE (Q2 2026)	EPS (Q2 2026)	OPERATING RATIO	NET MARGIN

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$24.5B	$11.2B	$7.1B
2024	$24.2B	$11.0B	$6.7B

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2023	$24.1B	$10.5B	$6.4B
2022	$24.9B	$11.2B	$7.0B

UNION PACIFIC CORPORATION | RISKS & INVESTMENT VIEW

HOLD

Key risks

Merger Regulatory Risk. STB may block or condition the NSC merger; a rejection would remove the primary growth catalyst. [10-K FY25]

Economic Sensitivity. Freight volumes are economically sensitive; a recession hits carloads across all segments. [10-K FY25]

Leverage. Debt/equity of 1.72x limits financial flexibility for the merger and buybacks. [10-K FY25]

Investment view

STB approval of the NSC merger would add a strategic premium. A Q3 volume miss or merger rejection would cut Growth and Catalysts.

Hold. The $212.31 blended target implies -27% upside, balancing the $158.44 / $217.75 / $255.30 Bear / Base / Bull targets.

UNION PACIFIC CORPORATION | KEY DRIVERS

HOLD

Best-ever workforce productivity, fuel consumption, terminal dwell [8-K Q2 2026]

Proposed Norfolk Southern merger creates first transcontinental railroad [8-K]

Upcoming catalysts

Oct 22, 2026. Q3 2026 Earnings: consensus $3.47 EPS on $7.12B revenue. Operating ratio is the key metric.

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